

4.1.8 The market mechanism, market failure and government intervention in markets

4.1.8.1 How markets and prices allocate resources

Content	Additional information
• The rationing, incentive and signalling functions of prices in allocating resources and coordinating the decisions of buyers and sellers in a market economy. • The advantages and disadvantages of the price mechanism and of extending its use into new areas of activity.	Students should understand how economic incentives influence what, how and for whom goods and services are produced. Students should be able to assess the view that the price mechanism is an impersonal method of allocating resources. They should also be able to assess the view that introducing the price mechanism and markets into some fields of human activity may be undesirable and is likely to affect the nature of the activity, eg introducing a market for blood changes the nature of the transaction and the incentives involved.

4.1.8.2 The meaning of market failure

Content	Additional information
• Market failure occurs whenever a market leads to a misallocation of resources. • The difference between complete market failure (resulting in a missing market) and partial market failure (where a market exists but contributes to resource misallocation). • How public goods, positive and negative externalities, merit and demerit goods, monopoly and other market imperfections, and inequalities in the distribution of income and wealth can lead to market failure.	Students should be able to provide examples to inform their discussion of each of these causes of market failure.

4.1.8.3 Public goods, private goods and quasi-public goods

Content	Additional information
• Pure public goods are non-rival and non-excludable and recognition of the significance of these characteristics. • The difference between a public good and a private good. • Circumstances when a public good may take on some of the characteristics of a private good and become a quasi-public good. • The significance of technological change, eg television broadcasting is now excludable. • The free-rider problem. • The tragedy of the commons.	Students should appreciate the relevance of the 'tragedy of the commons' for environmental market failures.

4.1.8.4 Positive and negative externalities in consumption and production

Content	Additional information
• Externalities exist when there is a divergence between private and social costs and benefits. • Why negative externalities are likely to result in over-production and that positive externalities are likely to result in under-production. • Why the absence of property rights leads to externalities in both production and consumption and hence market failure.	Students should be able to illustrate the misallocation of resources resulting from externalities in both production and consumption, using diagrams showing marginal private and social cost and benefit curves.

4.1.8.5 Merit and demerit goods

Content	Additional information
• The classification of merit and demerit goods depends upon a value judgement. • Such products may be subject to positive and negative externalities in consumption. • How under-provision of merit goods and over-provision of demerit goods may also result from imperfect information.	Students should be able to illustrate the misallocation of resources resulting from the consumption of merit and demerit goods using diagrams showing marginal private and social cost and benefit curves. It should be understood that not all products that result in positive or negative externalities in consumption are either merit or demerit goods.

4.1.8.6 Market imperfections

Content	Additional information
• Why imperfect and asymmetric information can lead to market failure. • Why the existence of monopoly and monopoly power can lead to market failure. • Why the immobility of factors of production can lead to market failure.	

4.1.8.7 Competition policy

Content	Additional information
• The general principles of UK competition policy and some awareness of EU competition policy. • The costs and benefits of such policies.	Examples of real-world applications of such policies should provide contexts in which students can evaluate the use of economic models to explore economic behaviour and further develop their appreciation of the behaviour of firms. Detailed knowledge of UK and EU competition law is not required.

4.1.8.8 Public ownership, privatisation, regulation and deregulation of markets

Content	Additional information
• The arguments for and against the public ownership of firms and industries. • The arguments for and against the privatisation of state-owned enterprises. • The arguments for and against the regulation of markets. • The arguments for and against the deregulation of markets. • The problem of regulatory capture.	Students should be able to assess the application of such policies in the United Kingdom and be able to evaluate their effects on economic performance.

4.1.8.9 Government intervention in markets

Content	Additional information
• The existence of market failure, in its various forms, provides an argument for government intervention in markets. • Governments influence the allocation of resources in a variety of ways, including through public expenditure, taxation and regulation. • Governments have a range of objectives and these affect how they intervene in a mixed economy to influence the allocation of resources. • The use of indirect taxation, subsidies, price controls, state provision and regulation, the extension of property rights and pollution permits to correct market failure.	Students should be able to apply economic models to assess the role of markets and the government in a variety of situations. Students should be able to explain, analyse and evaluate the strengths and weaknesses of the market economy and the role of government within it. Students should be able to evaluate the case for and against government intervention in particular markets and to assess the relative merits of different methods of intervention.

4.1.8.10 Government failure

Content	Additional information
• Government failure occurs when government intervention in the economy leads to a misallocation of resources. • Inadequate information, conflicting objectives and administrative costs are possible sources of government failure. • Governments may create, rather than remove, market distortions. • Government intervention can lead to unintended consequences.	Students should appreciate that the possibility of government failure means that, even when there is market failure, government intervention will not necessarily improve economic welfare.